US-INDIA BTA

7 February 2026

A Pound of Crude: Trump's Venetian Bargain* Grants India Tariff Mercy, But Extracts a Strategic Toll

US-INDIA BTA

The US–India trade deal grants India tariff relief and deeper market access but binds it to a $500 billion import commitment and an oil ban, tilting leverage toward Washington. While India gains tactical export wins, the pact risks eroding its trade surplus and constraining strategic flexibility in energy and manufacturing.

(see statement here), February 7, 2026

What's In the Final US-India Trade Agreement?

The final US-India Bilateral Trade Agreement (February 7, 2026), establishes an Interim framework tied to a broader Bilateral Trade Agreement (BTA) initiated in 2025. It emphasizes reciprocal market access, with India committing to eliminate or reduce tariffs on US industrial goods, food, and agricultural products like Distillers Dried Grains with Solubles (DDGs^), red sorghum, tree nuts, fruits, soybean oil, wine, and spirits. In return, the US sets an 18% reciprocal tariff on select Indian goods (e.g., textiles, apparel, leather, plastics, chemicals, machinery), with plans to remove tariffs on items like generic pharmaceuticals, gems, diamonds, and aircraft parts upon successful Interim implementation. From the US standpoint, this structure aims to balance trade while addressing American concerns over market barriers.

Key Concessions and Alignment with US Interests

India's pledges align closely with US demands highlighted in prior announcements, including Trump's tweets and White House statements. Notably, India agrees to cease direct or indirect imports of Russian crude oil, shifting to US energy products, resulting in removal of the 25% punitive duty effective February 7, 2026. This is conditioned on ongoing monitoring, with potential reimposition if violations occur.

Also, in line with Trump's social post, India commits to a $500 billion purchase of US goods over five years, covering energy, aircraft, precious metals, technology (e.g., GPUs, data-center goods), and coking coal, far exceeding current $45 billion annual imports. This is also a major departure from Trump's "Mission 500" target to expand US-India bilateral trade to $500 billion.

The agreement also requires India to dismantle non-tariff barriers in medical devices, ICT goods, and food/agriculture within six months, adopting US or international standards, which could expose sensitive sectors to competition.

Benefits for India and Economic Implications

From India's perspective, the deal provides tariff relief, reducing effective US duties on Indian exports to 18% (below competitors' rates), which the Indian Trade Minister has stated will boost labor-intensive sectors and initiatives such as Make in India and Atmanirbhar Bharat. Removal of national-security tariffs on Indian aircraft and parts, plus a preferential quota for automotive parts, supports aviation and manufacturing growth. The 10-year defense cooperation framework enhances strategic ties, but it remains unclear whether it implies an expectation of diverting purchases from Russia and France, and whether US dependency will also entail technology transfer and supply chain resilience.

Dhananjay Sinha
dhananjaysinha@systematixgroup.in
+91 22 6704 8095

Purvi Mundhra
purvimundhra@systematixgroup.in
+91 22 6704 8078

Mahendra Singh
mahendrasingh@systematixgroup.in
+91 22 6704 8094

Investors are advised to refer disclosures made at the end of the research report.

However, the $500 billion commitment risks inflating India's import bill, potentially eroding its $42 billion trade surplus with the US and straining foreign reserves. Higher costs from switching to US/Venezuelan oil could impact refining profits and fuel exports.

Discrepancies and Risks Highlighted in Prior Analyses

Our earlier notes (February 3 and 5, 2026) pointed to narrative gaps between US claims (e.g., full oil cessation, zero tariffs on US goods, aggressive $500 billion framing) and India's muted responses, which emphasized energy security and sector protections without explicit confirmations. The final agreement resolves some ambiguities by confirming the oil ban and purchases, but it stops short of absolute zero tariffs on all US imports, focusing instead on **eliminate or reduce tariffs** on all US **industrial goods and many food and agricultural products**.

This deal reflects "America First" priorities, with India gaining tactical wins but conceding on geopolitical flexibility, necessitating careful domestic management to avoid political fallout.

While the Indian side had assured that agriculture will remain protected, the inclusion of agri and food items in the zero-tariff list indicate US expectations for market access and could spark domestic backlash, as farmer groups have warned of price undercutting in maize, soybean, dairy, and nuts. The lack of details on services (e.g., H-1B visas) and digital trade rules leaves IT sector vulnerabilities unaddressed.

Balance Tilted Toward US Leverage

The agreement is touted as mutually beneficial on paper, fostering deeper economic and security alignment amid global tensions. For the US, it secures market entry, seeks to eliminate trade deficits with India, and curbs Russian influence via energy redirection. For India, it offers export relief but at a strategic cost, economic dependencies on US supplies, defense, competition for Indian manufacturing, including farm products and global energy sourcing freedom. While markets rallied initially on de-escalation, long-term sustainability depends on implementation; monitoring provisions give the US ongoing leverage, risking re-escalation if India resumes Russian oil imports. This deal reflects "America First" priorities, with India gaining tactical wins but conceding on geopolitical flexibility, necessitating careful domestic management to avoid political fallout.

Structural Pressures and Global Context

From a long-term perspective, the recently signed US and EU Bilateral Trade Agreements (BTAs) come at a precarious time: India's manufacturing GVA share has slipped to 13–14% from peaks of 18–19%, despite *Make in India's* 25% target (2014). Global integration lags, with just 2.9% of global manufacturing GVA and 1.8% of merchandise exports in 2024 (Economic Survey 2025-26). Structural constraints continue to weigh on competitiveness. India's backward GVC participation (BVAX ratio) peaked at 25.5% in 2012 but fell to 17.2% in 2020, far below competing countries like Vietnam at 48%. Vietnam's success reflects deeper tariff liberalization and export-oriented policies, yielding scale-driven gains in domestic value-added, jobs, and exports.

Both geographies, US and EU aim to flip their trade deficits with India into surpluses by capturing larger shares of domestic demand, compounding existing pressures from low-cost Chinese imports.

The Road Ahead

To reverse underperformance, India must prioritize trade openness and reforms:

- Correct inverted duty structures.
- Streamline logistics and customs to cut input costs.
- Foster assembly-based manufacturing for scale and employment.
- Reduce protectionism, expand FTAs, boost R&D, and ease land/labor/skills constraints.

This integrated approach, disciplining firms through advanced manufacturing and embedding India deeper into GVCs, can elevate India's manufacturing share and global standing, mitigating the risks of Trump's bargain while unlocking long-term competitiveness.

Sectoral Views

Pharmaceuticals: Positive for pharmaceuticals, as India is expected to attract preferential/negotiated tariffs on generic pharma. Generic drugs are exempted in the near term until the Section 232 investigations conclude, but will receive preferential or negotiated tariff rates thereafter. Organic Chemicals to attract tariffs; however, there is a lack of clarity on whether generic APIs would attract tariffs, as they are also part of the organic chemicals category and generic pharmaceuticals (which are exempt). Innovator API exports may attract a tariff of 18% but we believe the tariff rates are still relatively attractive, hence there may be no negative impact on profits, and they will most likely be passed to the customer. Post conclusion of Section 232 investigations, tariffs on generic API and formulations can change, but exports from India will get a preferred status. Two countries will work to define the source or country of origin for the implementation of tariffs, and the agreement benefits remain mutually exclusive.

Consumer Staples: Positive for LT Foods, Bector Foods (both with material exposure to US exports); Positive for Raymond Lifestyle: US contributes 40–45% of garmenting revenue; garmenting is ~20% of overall business; LT Foods; Can impact dairy industry through imports of DDGs

Hugely positive for Textiles: Gokaldas Exports, Pearl Global, Welspun Living, Indo Count, KPR Mills

Oil & Gas: Praj Industries

Positive Chemicals: Aarti Industries, UPL, PI, Vinati Organics, SRF, Navin Fluorine

Industrials: Positive for Jash Engg; no impact on cement, railways, oil and gas

Capital Goods: Selective; TD Power, MTAR Technologies, Apar Industries, CG Power.

Auto ancs: India's auto component exports to the US (~27%) gain from preferential tariff quotas, boosting cost competitiveness and visibility—benefiting Bharat Forge, Sona BLW, and Ramkrishna Forgings. For OEMs, impact is modest, though M&M's strong US tractor presence and duty-free premium motorcycle imports could drive selective gains.

IT&ES: FTA should ease access to advanced AI technology, specifically NVIDIA GPUs. Positive for E2E Networks and Netweb Technologies

No Major impact on Banks; On a broader level, the BTA can have positive spillovers from supply chain integration opportunities.

**** PS:*** *The caption is motivated by the Shakespearean Novel "The Merchant of Venice" in the which the phrase* ***"a pound of flesh"*** *refers to the bond between Antonio, a Venetian merchant, and Shylock, a Jewish moneylender. Antonio borrows money for his friend Bassanio, and Shylock demands a pound of Antonio's flesh as collateral. When Antonio defaults, Shylock insists on exact repayment, literally the flesh, symbolizing rigid adherence to the letter of the law regardless of human cost.*

The courtroom climax (Act IV, Scene I) sees Portia, disguised as a lawyer, overturn Shylock's demand by pointing out that the bond specifies flesh but not blood, making it impossible to fulfill without breaking Venetian law. Over time, "a pound of flesh" has come to mean a ***harsh, merciless demand for repayment or justice, regardless of consequences****.*

^ **Distillers Dried Grains with Solubles (DDGS)** is a nutrient-dense, high-protein byproduct of alcohol fermentation, primarily from corn or other cereals. It consists of fermented, non-starch grain remnants (protein, fiber, oil) combined with concentrated syrupy solubles, dried to 10–12% moisture.

Key Components of DDGS:

- Protein (28–32%): A highly digestible source of protein for livestock.
- Fat/Oil (8–12%): Provides high energy, although fat content can vary based on extraction techniques.
- Fiber: High in fiber from the original grain, which provides energy but can limit digestibility in certain animals.
- Solubles: The concentrated syrup from the fermentation process, which adds nutrients back to the mix.
- Yeast Proteins: Derived from the fermentation process, offering a potential probiotic effect.
- Minerals: A good source of phosphorus.

Production Process & Characteristics:

1. Fermentation: Starch from grain is converted into ethanol.
2. Distillation: The ethanol is removed, leaving behind "whole stillage".
3. Separation: The material is separated into liquid ("thin stillage") and solid ("wet cake") components.
4. Concentration & Drying: The thin stillage is concentrated into syrup, then mixed with the wet cake and dried to produce DDGS.

DDGS is widely used as a high-value, cost-effective animal feed ingredient for cattle, poultry, and swine.

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Dhananjay Sinha, Purvi Mundhra; Mahendra Singh,** hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	No
Served as an officer, director or employee	No

I. **ISSUER SPECIFIC REGULATORY DISCLOSURES,** unless specifically mentioned in point no. 9 below:

1. The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
2. The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
3. The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
4. The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
5. The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
6. SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
7. The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
8. The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
9. Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

10. There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.
HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.
SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.
NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.
NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.
CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

II. DISCLAIMER

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication,

redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link, is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.

Systematix Shares and Stocks (India) Limited:
Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917